

Employing in Saudi Arabia

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Saudi Labour Law
- **Monthly payroll** — salary payments in SAR via the Mudad wage protection platform
- **No income tax** — Saudi Arabia levies no personal income tax on employment income
- **GOSI** — the General Organization for Social Insurance contribution stack
- **Leave and termination management** — notice periods, end-of-service gratuity and Saudisation (Nitaqat) guidance

Employment Conditions

Contracts & Probation

GOSI contributions differ dramatically by nationality — expatriate employees attract only a small employer-only occupational hazards contribution, while Saudi nationals are enrolled in a much larger pension and unemployment insurance scheme with rates currently rising under a multi-year reform.

Item	Detail	Legal Basis
Probation period	Maximum 90 days (extendable to 180 by written agreement)	Saudi Labour Law
Minimum wage (Saudi nationals, Nitaqat purposes)	SAR 4,000/month	No general statutory minimum for expatriate employees
GOSI system split	"Old system" (pre-3 July 2024) vs. "New system" (post-3 July 2024) — different rates apply depending on registration date	New Social Insurance Law, 2024

GOSI Contributions (2026)

Employee Type	Employer Rate	Notes
Expatriate employees	2% (occupational hazards only)	No pension or SANED unemployment contribution for expatriates; capped at SAR 45,000/month contribution base
Saudi nationals — New System (registered after 3 Jul 2024)	12.75% (from 1 July 2026, up from 12.25%)	Combined rate rising to 23.5% total by mid-2026 under a phased annual increase
Saudi nationals — Old System (registered before 3 Jul 2024)	11.75%	Unchanged at a combined 21.5% total

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	21 days/year (30 days after 5 years' service)	Employer	Saudi Labour Law minimum
Sick Leave	30 days full pay, 30 days at 75%, 30 days unpaid	Employer	Per 12-month period
Maternity Leave	10 weeks	Employer	Split flexibly before/after birth

★ HERO TIP

Most HeroForce clients hiring in Saudi Arabia are hiring expatriates, where GOSI is capped at a simple 2% employer-only occupational hazards contribution — the more complex pension/SANED system applies only to Saudi nationals. The bigger consideration for expatriate hires is end-of-service gratuity, which is reduced if the employee resigns before completing a set length of service (rather than being dismissed) — confirm resignation vs. termination classification carefully with your HeroForce EOR.

Payroll, Tax & Contributions

Total Cost Example (Expatriate Employee) — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
GOSI, occupational hazards (2%, expatriate)	\$60.00	2.00%
End-of-service gratuity accrual (illustrative, ~4.2% for first 5 years)	\$126.00	4.20%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,786.00	~126.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. This example assumes an expatriate employee; Saudi national hires attract a substantially higher GOSI employer contribution (11.75%–12.75%). Expatriate employees have no personal income tax and no employee-side GOSI deduction — take-home pay equals gross salary.

Termination & Separation

End-of-Service Gratuity

Basis	Formula
First 5 years of service	Half month's wage per year
Beyond 5 years of service	Full month's wage per year
Resignation before 2 years	No gratuity entitlement
Resignation, 2-5 years' service	1/3 of the calculated gratuity
Resignation, 5-10 years' service	2/3 of the calculated gratuity
Resignation, 10+ years' service	Full gratuity

Gratuity is calculated on basic salary plus fixed allowances (not the full gross package), and there is no statutory cap on the total payout, unlike the UAE.

Public Holidays 2026

Date	Holiday	Type
~ March/April	Eid al-Fitr (multi-day)	National (Islamic calendar)
~ May/June	Eid al-Adha (multi-day)	National (Islamic calendar)
23 September	Saudi National Day	National
22 February	Founding Day	National

Islamic calendar holidays shift roughly 10-11 days earlier each Gregorian year and are confirmed by the Saudi government closer to the date.

Ready to hire in Saudi Arabia?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Saudi Arabia employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).